

INDIA IS NOW home to 75,000 start-ups in the 75th year of Independence and this is only the beginning,” Union Minister Piyush Goyal tweeted on Wednesday, August 3. The growth of India’s start-up landscape over the past decade has been outstanding and impressive. The third largest start-up ecosystem in the world smashed all previous records of funding volumes and unicorn creation in 2021.

Come 2022, the growth machine has slowed to a grinding halt. Entrepreneurs are waking up to the virtue of frugality once again, as easy money dries up and venture capital tumbles. This July, Unacademy Co-founder and CEO Gaurav Munjal said the company must “embrace frugality” as a core value to become cash-flow positive. “Until now we have never had frugality as one of our core values. Honestly, since we were focussed on growth and the fact that we had raised millions of dollars of capital it [frugality] wasn’t a priority,” he wrote.

Munjal isn’t alone. The call for frugality is now heard echoing across the start-up landscape. Most start-ups are unprofitable. In a growth market, investors fund them to scale up first before aiming for profitability. However, a combination of global macro events including rising inflation, supply chain disruptions due to Covid-19 and the Ukraine conflict, and the ongoing correction in public markets have brought a degree of caution. Consequently, investors are reminding companies that ‘cash is king’ and it’s time they conserve cash and extend the runway as far as possible.

“Frugality is about not going

TURNING FRUGAL



START-UPS ARE CUTTING DOWN ON THE FRILLS; BONUSES, SALARIES, PERKS, AND BENEFITS ARE BEING REVIEWED



EXPERIMENTS ARE ON HOLD; NON-PERFORMING BUSINESS FUNCTIONS ARE BEING WOUND DOWN



HIGH BURN MODELS ARE FACING INCREASED INVESTOR SCRUTINY



INVESTORS ARE ADVISING START-UPS TO EXTEND THE RUNWAY AS LONG AS POSSIBLE



INDIA’S UNICORN RALLY IS SLOWING DOWN SIGNIFICANTLY

overboard on anything where the returns are not beyond reasonable doubt and [includes] expenditures of discretionary nature like non-essential hiring, lavish offices and off-sites, business [class] travel, etc. If a business needs to shed flab, it needs to take a look at every discretionary spend,” says T.N. Hari, Co-founder of Artha School of Entrepreneurship and former CHRO at bigbasket.

AND IT’S HAPPENING. New-age tech companies that accounted for a majority of last year’s Indian Premier League advertising have toned down their TV exposure. More than 11,000 jobs have been slashed across start-ups including Ola, BYJU’S, Blinkit, Unacademy, Vedantu and Cars24 as companies began to shred fixed costs and create a longer runway. Front-loaded hiring has come to an end. Salary packages have either shrunk or stagnated.

“Last year, growth was primary; profitability was secondary. This year it has reversed. Once that mindset shift happens, decision-making becomes easier. Suddenly you will start looking at marketing costs, which were bringing growth but not profitability. You will optimise hiring, stop experimenting with new projects and prioritise ruthlessly,” says Darpan Sanghvi, Group Founder & CEO, The Good Glamm Group, a content-to-commerce platform that entered the unicorn club after raising \$150 million in its Series-D round last November. Much of that money, Sanghvi says, is still in the bank.

Padmaja Ruparel, Co-founder & President of Indian Angel Network (IAN), says daily monitoring of the status of cash is essential for early-stage companies, and it needs to be done by the founder or CEO. “It is important to collect payments against the revenues. ‘High receivables’ is a drain on cash flows and a daily focus on collecting is essential. Optimum quantum and time